



Contents lists available at ScienceDirect

Research Policy

journal homepage: www.elsevier.com/locate/respol



Connections count: How relational embeddedness and relational empowerment foster absorptive capacity



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ARTICLE INFO

Article history:

Received 24 August 2011

Received in revised form 27 August 2013

Accepted 29 October 2013

Available online 9 December 2013

Keywords:

Absorptive capacity

Relational embeddedness

Relational empowerment

Innovation

ABSTRACT

While research has produced ample evidence showing that absorptive capacity affects innovation and organizational performance outcomes, we still know little about why some organizations possess greater absorptive capacity than others. This study extends previous research by showing how absorptive capacity emerges as an unintended consequence from organizational boundary spanners' external and internal relational embeddedness and their relational empowerment. Drawing upon survey data from 218 inter-organizational projects in the German engineering industry, we propose and find empirically that potential and realized absorptive capacity have partially distinct antecedents. Moreover, we show that the two components of absorptive capacity unfold not only separate but also complementary effects on innovation, implying that the whole of absorptive capacity is greater than its parts. In examining how different components of absorptive capacity emerge and unfold their effects, this study addresses critical limitations of the literature on absorptive capacity.

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1. Introduction

Research has shown that an organization's ability to acquire and exploit external knowledge in alliances, joint ventures, R&D collaborations, and supply chains – i.e. its absorptive capacity (Cohen and Levinthal, 1990) – has direct positive effects on firm performance outcomes, especially innovation in terms of new products, technologies or processes (Bierly et al., 2009; Gilsing et al., 2008; Jiang and Li, 2009; Lichtenthaler, 2009). While the management literature has widely invoked the notion of absorptive capacity as an important driver of competitive advantage (see Lane et al., 2006), our understanding of how absorptive capacity contributes to performance outcomes is still limited. One reason is that most empirical studies have considered absorptive capacity as an independent variable (Volberda et al., 2010). However, if variations in organizations' absorptive capacity can help explain differences in performance outcomes, it seems important to understand how organizations develop greater or lesser absorptive capacity. Nevertheless, research to date has mainly neglected to study the micro-foundations of organizations' absorptive capacity so that we still know little about how an organization's absorptive

capacity arises from the actions and interactions of lower-level actors, such as individuals, teams, or organization units (Lane et al., 2006; Volberda et al., 2010).

The present paper addresses this gap in the literature. We theorize and demonstrate empirically that absorptive capacity emerges as the unintended consequence of organizational boundary spanners' external and internal relational embeddedness (Granovetter, 1985) as well as their relational empowerment (Spreitzer, 2008). An analysis of a large sample of inter-organizational projects managed by German mechanical engineering and plant engineering firms shows that both project members' external relational embeddedness (measured via project members' inter-organizational tie strength and trust with external project partners) and the amount of training they receive enhance the capacity of these organizational boundary spanners to acquire and assimilate external knowledge, that is potential absorptive capacity (Zahra and George, 2002). Whereas the capacity to transform and exploit the externally acquired knowledge, that is realized absorptive capacity (Zahra and George, 2002), positively depends on project members' internal relational embeddedness (measured via project members' intra-organizational tie strength and trust with colleagues inside their home organization) and their relational empowerment in terms of the amount of training they receive and the discretion they have over project-level decision-making. Results further reveal that project members' external and internal relational embeddedness are positively associated exerting mutual indirect effects on realized and potential absorptive capacity, respectively. This

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